

Southern Company

2nd Quarter 2021 Earnings

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July 29, 2021

Southern Company reports second-quarter 2021 earnings

ATLANTA – Southern Company today reported second-quarter 2021 earnings of \$372 million, or 35 cents per share, compared with \$612 million, or 58 cents per share, in the second quarter of 2020. For the six months ended June 30, 2021, Southern Company reported earnings of \$1.51 billion, or \$1.42 per share, compared with earnings of \$1.48 billion, or \$1.40 per share, for the same period in 2020.

Excluding the items described under “Net Income – Excluding Items” in the table below, Southern Company earned \$891 million, or 84 cents per share, during the second quarter of 2021, compared with \$822 million, or 78 cents per share, during the second quarter of 2020. For the six months ended June 30, 2021, excluding these items, Southern Company earned \$1.93 billion, or \$1.82 per share, compared with \$1.65 billion, or \$1.56 per share, for the same period in 2020.

Non-GAAP Financial Measures	Three Months Ended June		Year-to-Date June	
	2021	2020	2021	2020
Net Income - Excluding Items (in millions)				
Net Income - As Reported	\$ 372	\$ 612	\$ 1,508	\$ 1,480
Less:				
Estimated Loss on Plants Under Construction	(462)	(152)	(507)	(155)
Tax Impact	118	39	130	40
Acquisition and Disposition Impacts	1	—	1	38
Tax Impact	—	—	—	(16)
Wholesale Gas Services	(147)	(31)	19	—
Tax Impact	35	8	(5)	—
Asset Impairments	(89)	(154)	(89)	(154)
Tax Impact	25	80	25	80
Net Income - Excluding Items	\$ 891	\$ 822	\$ 1,934	\$ 1,647
Average Shares Outstanding - (in millions)	1,061	1,058	1,060	1,057
Basic Earnings Per Share - Excluding Items	\$ 0.84	\$ 0.78	\$ 1.82	\$ 1.56

NOTE: For more information regarding these non-GAAP adjustments, see the footnotes accompanying the Financial Highlights page of the earnings package.

Earnings drivers year-over-year for the second quarter of 2021, as compared with 2020, were strong customer usage, as well as robust customer growth and constructive state regulatory actions. These

impacts were partially offset by higher non-fuel operations and maintenance costs as the emerging economic recovery resulted in a return to more normal business operations. Earnings for the second quarter of 2021 were also significantly impacted by a \$343 million after-tax charge related to Georgia Power's construction of Plant Vogtle units 3 and 4.

"The Southern Company system achieved solid operational performance in the second quarter of 2021," said Chairman, President and CEO, Thomas A. Fanning. "We saw a year-over-year increase in retail electric sales, as the economies in our service territories continue to recover from the effects of the COVID-19 pandemic, and we experienced strong customer growth in our Southeastern footprint".

"We're also pleased to report that the integrated operation of Plant Vogtle Unit 3 has now been demonstrated with the successful completion of hot functional testing, our most significant project milestone to date," added Fanning.

Second-quarter 2021 operating revenues were \$5.2 billion, compared with \$4.6 billion for the second quarter of 2020, an increase of 12.5 percent. For the six months ended June 30, 2021, operating revenues were \$11.11 billion, compared with \$9.64 billion for the corresponding period in 2020, an increase of 15.3 percent. These increases were primarily due to higher fuel costs. Colder weather in the first quarter 2021 also contributed to the increase for the six months ended June 30, 2021.

Southern Company's second-quarter earnings slides with supplemental financial information, including long-term earnings guidance, are available at <http://investor.southerncompany.com>.

Southern Company's financial analyst call will begin at 1 p.m. Eastern Time today, during which Fanning and Chief Financial Officer Andrew W. Evans will discuss earnings and provide a general business update, including an update on the Vogtle units 3 and 4 construction project and earnings guidance. Investors, media and the public may listen to a live webcast of the call and view associated slides at <https://investor.southerncompany.com/events-and-presentations/default.aspx>. A replay of the webcast will be available on the site for 12 months.

About Southern Company

Southern Company (NYSE: SO) is a leading energy company serving 9 million customers through its subsidiaries. The company provides clean, safe, reliable and affordable energy through electric operating companies in three states, natural gas distribution companies in four states, a competitive generation company serving wholesale customers across America, a leading distributed energy infrastructure company, a fiber optics network and telecommunications services. Southern Company brands are known for excellent customer service, high reliability and affordable prices below the national average. For more than a century, we have been building the future of energy and developing the full portfolio of energy resources, including carbon-free nuclear, advanced carbon capture technologies, natural gas, renewables, energy efficiency and storage technology. Through an industry-leading commitment to innovation and a low-carbon future, Southern Company and its subsidiaries develop the customized energy solutions our customers and communities require to drive growth and prosperity. Our uncompromising values ensure we put the needs of those we serve at the center of everything we do and govern our business to the benefit of our world. Our corporate culture and hiring practices have been recognized nationally by the U.S. Department of Defense, G.I. Jobs magazine, DiversityInc, Black Enterprise, Forbes and the Women's Choice Award. To learn more, visit www.southerncompany.com.

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Southern Company
Financial Highlights
(In Millions of Dollars Except Earnings Per Share)

	Three Months Ended June		Year-to-Date June	
	2021	2020	2021	2020
Net Income—As Reported (See Notes)				
Traditional Electric Operating Companies	\$ 511	\$ 645	\$ 1,267	\$ 1,287
Southern Power	36	63	133	138
Southern Company Gas	(65)	71	333	346
Total	482	779	1,733	1,771
Parent Company and Other	(110)	(167)	(225)	(291)
Net Income—As Reported	\$ 372	\$ 612	\$ 1,508	\$ 1,480
Basic Earnings Per Share ¹	\$ 0.35	\$ 0.58	\$ 1.42	\$ 1.40
Average Shares Outstanding <i>(in millions)</i>	1,061	1,058	1,060	1,057
End of Period Shares Outstanding <i>(in millions)</i>			1,059	1,056

Non-GAAP Financial Measures	Three Months Ended June		Year-to-Date June	
	2021	2020	2021	2020
Net Income—Excluding Items (See Notes)				
Net Income—As Reported	\$ 372	\$ 612	\$ 1,508	\$ 1,480
Less:				
Estimated Loss on Plants Under Construction ²	(462)	(152)	(507)	(155)
Tax Impact	118	39	130	40
Acquisition and Disposition Impacts ³	1	—	1	38
Tax Impact	—	—	—	(16)
Wholesale Gas Services ⁴	(147)	(31)	19	—
Tax Impact	35	8	(5)	—
Asset Impairments ⁵	(89)	(154)	(89)	(154)
Tax Impact	25	80	25	80
Net Income—Excluding Items	\$ 891	\$ 822	\$ 1,934	\$ 1,647
Basic Earnings Per Share—Excluding Items	\$ 0.84	\$ 0.78	\$ 1.82	\$ 1.56

-See Notes on the following page.

Southern Company

Financial Highlights

Notes

- (1) Dilution is not material in any period presented. Diluted earnings per share was \$0.35 and \$1.41 for the three and six months ended June 30, 2021 and was \$0.58 and \$1.39 for the three and six months ended June 30, 2020, respectively.
- (2) Earnings for the three months ended June 30, 2021 include a charge of \$460 million pre tax (\$343 million after tax), earnings for the six months ended June 30, 2021 include charges totaling \$508 million pre tax (\$379 million after tax), and earnings for the three and six months ended June 30, 2020 include a charge of \$149 million pre tax (\$111 million after tax) for estimated probable losses on Georgia Power Company's construction of Plant Vogtle Units 3 and 4. Further charges may occur; however, the amount and timing of any such charges are uncertain. Earnings for the three and six months ended June 30, 2021 and 2020 also include charges (net of salvage proceeds), associated legal expenses (net of insurance recoveries), and tax impacts related to Mississippi Power Company's integrated coal gasification combined cycle facility project in Kemper County, Mississippi. Mississippi Power Company expects to incur additional pre-tax period costs to complete dismantlement of the abandoned gasifier-related assets and site restoration activities, including related costs for compliance and safety, asset retirement obligation accretion, and property taxes, totaling \$10 million to \$20 million annually through 2025.
- (3) Earnings for the six months ended June 30, 2020 primarily include a \$39 million pre-tax (\$23 million after-tax) gain on the sale of Southern Power Company's Plant Mankato. Further impacts may be recorded in future periods in connection with acquisition and disposition activity.
- (4) Earnings for the three and six months ended June 30, 2021 and 2020 include Wholesale Gas Services business results. Presenting earnings and earnings per share excluding Wholesale Gas Services provides an additional measure of operating performance that excludes the volatility resulting from mark-to-market and lower of weighted average cost or current market price accounting adjustments. This business was sold on July 1, 2021.
- (5) Earnings for the three and six months ended June 30, 2021 includes pre-tax impairment charges of \$82 million (\$58 million after tax) related to Southern Company Gas' investment in the PennEast Pipeline project and \$7 million (\$6 million after tax) related to a leveraged lease investment. Earnings for the three and six months ended June 30, 2020 include a pre-tax impairment charge of \$154 million (\$74 million after tax) related to another leveraged lease investment. Impairment charges may occur in the future; however, the amount and timing of any such charges are uncertain.

Southern Company
Significant Factors Impacting EPS

	Three Months Ended June			Year-to-Date June		
	2021	2020	Change	2021	2020	Change
Earnings Per Share– As Reported¹ (See Notes)	\$ 0.35	\$ 0.58	\$ (0.23)	\$ 1.42	\$ 1.40	\$ 0.02

Significant Factors:						
Traditional Electric Operating Companies			\$ (0.13)			\$ (0.02)
Southern Power			(0.03)			—
Southern Company Gas			(0.13)			(0.01)
Parent Company and Other			0.06			0.06
Increase in Shares			—			(0.01)
Total–As Reported			<u>\$ (0.23)</u>			<u>\$ 0.02</u>

	Three Months Ended June			Year-to-Date June		
	2021	2020	Change	2021	2020	Change
Non-GAAP Financial Measures						
Earnings Per Share– Excluding Items (See Notes)	\$ 0.84	\$ 0.78	\$ 0.06	\$ 1.82	\$ 1.56	\$ 0.26

Total–As Reported			\$ (0.23)			\$ 0.02
Less:						
Estimated Loss on Plants Under Construction ²			(0.21)			(0.24)
Acquisition and Disposition Impacts ³			—			(0.02)
Wholesale Gas Services ⁴			(0.09)			0.01
Asset Impairments ⁵			0.01			0.01
Total–Excluding Items			<u>\$ 0.06</u>			<u>\$ 0.26</u>

- See Notes on the following page.

Southern Company

Significant Factors Impacting EPS

Notes

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Southern Company
EPS Earnings Analysis

Description	Three Months Ended June 2021 vs. 2020	Year-To-Date June 2021 vs. 2020
Retail Sales	7¢	5¢
Retail Revenue Impacts	7	9
Weather	1	8
Wholesale & Other Operating Revenues	4	8
Non-Fuel O&M	(11)	(11)
Depreciation and Amortization, Interest Expense, Other	1	4
Total Traditional Electric Operating Companies	9¢	23¢
Southern Power	(3)	2
Southern Company Gas	1	3
Parent and Other	(1)	(1)
Increase in Shares	—	(1)
Total Change in EPS (Excluding Items)	6¢	26¢
Estimated Loss on Plants Under Construction ¹	(21)	(24)
Acquisition and Disposition Impacts ²	—	(2)
Wholesale Gas Services ³	(9)	1
Asset Impairments ⁴	1	1
Total Change in EPS (As Reported)	(23)¢	2¢

- See Notes on the following page.

Southern Company

EPS Earnings Analysis

Notes

- (1) Earnings for the three months ended June 30, 2021 include a charge of \$460 million pre tax (\$343 million after tax), earnings for the six months ended June 30, 2021 include charges totaling \$508 million pre tax (\$379 million after tax), and earnings for the three and six months ended June 30, 2020 include a charge of \$149 million pre tax (\$111 million after tax) for estimated probable losses on Georgia Power Company's construction of Plant Vogtle Units 3 and 4. Further charges may occur; however, the amount and timing of any such charges are uncertain. Earnings for the three and six months ended June 30, 2021 and 2020 also include charges (net of salvage proceeds), associated legal expenses (net of insurance recoveries), and tax impacts related to Mississippi Power Company's integrated coal gasification combined cycle facility project in Kemper County, Mississippi. Mississippi Power Company expects to incur additional pre-tax period costs to complete dismantlement of the abandoned gasifier-related assets and site restoration activities, including related costs for compliance and safety, asset retirement obligation accretion, and property taxes, totaling \$10 million to \$20 million annually through 2025.
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Southern Company
Consolidated Earnings
As Reported
(In Millions of Dollars)

	Three Months Ended June			Year-to-Date June		
	2021	2020	Change	2021	2020	Change
Income Account-						
Retail Electric Revenues-						
Fuel	\$ 875	\$ 676	\$ 199	\$ 1,712	\$ 1,353	\$ 359
Non-Fuel	2,724	2,506	218	5,229	4,907	322
Wholesale Electric Revenues	546	472	74	1,091	889	202
Other Electric Revenues	175	168	7	346	320	26
Natural Gas Revenues	677	636	41	2,371	1,885	486
Other Revenues	201	162	39	359	284	75
Total Revenues	5,198	4,620	578	11,108	9,638	1,470
Fuel and Purchased Power	1,065	821	244	2,120	1,638	482
Cost of Natural Gas	231	144	87	814	583	231
Cost of Other Sales	103	74	29	185	129	56
Non-Fuel O&M	1,438	1,203	235	2,810	2,498	312
Depreciation and Amortization	891	873	18	1,762	1,730	32
Taxes Other Than Income Taxes	313	298	15	657	629	28
Estimated Loss on Plant Vogtle Units 3 and 4	460	149	311	508	149	359
(Gain) Loss on Dispositions, net	(11)	—	(11)	(54)	(39)	(15)
Total Operating Expenses	4,490	3,562	928	8,802	7,317	1,485
Operating Income	708	1,058	(350)	2,306	2,321	(15)
Allowance for Equity Funds Used During Construction	45	35	10	90	68	22
Earnings (Loss) from Equity Method Investments	(40)	30	(70)	5	72	(67)
Interest Expense, Net of Amounts Capitalized	450	444	6	901	900	1
Impairment of Leveraged Leases	7	154	(147)	7	154	(147)
Other Income (Expense), net	108	101	7	167	204	(37)
Income Taxes (Benefit)	(12)	5	(17)	178	150	28
Net Income	376	621	(392)	1,482	1,461	(126)
Less:						
Dividends on Preferred Stock of Subsidiaries	4	4	—	7	7	—
Net Income (Loss) Attributable to Noncontrolling Interests	—	5	(5)	(33)	(26)	(7)
NET INCOME ATTRIBUTABLE TO SOUTHERN COMPANY	\$ 372	\$ 612	\$ (240)	\$ 1,508	\$ 1,480	\$ 28

Notes

- Certain prior year data may have been reclassified to conform with current year presentation.

Southern Company
Kilowatt-Hour Sales and Customers
(In Millions of KWHs)

	Three Months Ended June				Year-to-Date June			
	2021	2020	Change	Weather Adjusted Change	2021	2020	Change	Weather Adjusted Change
Kilowatt-Hour Sales-								
Total Sales	46,020	43,547	5.7 %		92,442	87,811	5.3 %	
Total Retail Sales-	34,655	32,460	6.8 %	6.0 %	69,306	66,505	4.2 %	2.0 %
Residential	10,838	10,879	(0.4)%	(2.0)%	22,878	21,745	5.2 %	(0.4)%
Commercial	11,500	10,531	9.2 %	8.7 %	22,243	21,470	3.6 %	2.7 %
Industrial	12,162	10,886	11.7 %	11.7 %	23,870	22,952	4.0 %	4.0 %
Other	155	164	(5.4)%	(5.3)%	315	338	(6.6)%	(6.8)%
Total Wholesale Sales	11,365	11,087	2.5 %	N/A	23,136	21,306	8.6 %	N/A

(In Thousands of Customers)

	Period Ended June		
	2021	2020	Change
Regulated Utility Customers-			
Total Utility Customers-	8,659	8,580	0.9%
Total Traditional Electric	4,359	4,305	1.3%
Southern Company Gas	4,300	4,275	0.6%

Southern Company

Financial Overview

As Reported

(In Millions of Dollars)

	Three Months Ended June			Year-to-Date June		
	2021	2020	% Change	2021	2020	% Change
Southern Company –						
Operating Revenues	\$ 5,198	\$ 4,620	12.5 %	\$ 11,108	\$ 9,638	15.3 %
Earnings Before Income Taxes	364	626	(41.9)%	1,660	1,611	3.0 %
Net Income Available to Common	372	612	(39.2)%	1,508	1,480	1.9 %
Alabama Power –						
Operating Revenues	\$ 1,556	\$ 1,365	14.0 %	\$ 3,115	\$ 2,716	14.7 %
Earnings Before Income Taxes	439	395	11.1 %	910	762	19.4 %
Net Income Available to Common	331	298	11.1 %	690	578	19.4 %
Georgia Power –						
Operating Revenues	\$ 2,225	\$ 1,928	15.4 %	\$ 4,195	\$ 3,754	11.7 %
Earnings Before Income Taxes	93	319	(70.8)%	462	665	(30.5)%
Net Income Available to Common	143	308	(53.6)%	494	638	(22.6)%
Mississippi Power –						
Operating Revenues	\$ 303	\$ 283	7.1 %	\$ 610	\$ 559	9.1 %
Earnings Before Income Taxes	46	41	12.2 %	95	79	20.3 %
Net Income Available to Common	38	39	(2.6)%	83	71	16.9 %
Southern Power –						
Operating Revenues	\$ 490	\$ 439	11.6 %	\$ 930	\$ 814	14.3 %
Earnings Before Income Taxes	34	74	(54.1)%	89	125	(28.8)%
Net Income Available to Common	36	63	(42.9)%	133	138	(3.6)%
Southern Company Gas –						
Operating Revenues	\$ 677	\$ 636	6.4 %	\$ 2,371	\$ 1,885	25.8 %
Earnings (Loss) Before Income Taxes	(94)	87	N/M	425	441	(3.6)%
Net Income (Loss) Available to Common	(65)	71	N/M	333	346	(3.8)%

N/M - Not Meaningful

Notes

- See Financial Highlights pages for discussion of certain significant items occurring during the periods